ECO610 FINAL TERM [SHORT NOTES]

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MODULE # 4 - [PUBLIC FINANCE AND FISCAL POLICY]

STRUCTURE OF GOVERNMENT IN PAKISTAN:

Major Function: Taxation

- Primary purpose is to collect revenue from the citizens.

Utilization of Collected Revenue:

- Running of the government.
- Provision of Law and Order.
- Defense of the country.
- Infrastructure development.
- Social development.

Constitutional Framework:

- Determines resource mobilization and responsibilities of different government tiers.
- Undergoes changes over time.

Significance of 7th NFC Awards and 18th Amendment (2010):

- **NFC (National Finance Commission):**
  - Body constituted by the President to divide revenue sharing formula.
  - Awards announced every five years.
- **Hallmark Developments:**
  - 7th NFC (2010) significantly increased provincial share in federal divisible pool.
  - 18th Amendment abolished the concurrent list, devolving functions to provincial governments.

Federal Government Functions:

- **Regulatory Functions:**
  - Defense.
  - External Affairs.
  - Currency.
  - Stock Exchanges.
- **Service Functions:**
  - National Highways.
  - Roads & Railways.

Concurrent Legislative List:

- Federal or provincial government or both responsible for:
  - Social welfare.

- Population planning.
- Tourism.
- Education.

Residual Functions:

- **Provincial Government Responsibilities:**
  - Agricultural extension.
  - Irrigation.
  - Justice.
  - Police.

Local Government Existence:

- Not formally part of the constitution initially.
- Local governments seen as extensions of provincial governments.

District Government System (Implemented in 2001):

- Districts dependent on federal transfers.
- Local governments expected to self-finance their expenditures.

Provincial Governments' Autonomy:

- Given free hand by the federal government.
- Empowered to manage their revenues and resources independently.

STRUCTURE OF THE TAXATION:

State Institutions Involved:

1. **Legislative:**
   - Imposed in parliament.
   - Key tax laws include Income Tax Act, Sales Tax Act, Federal Excise Act, etc.
2. **Executive:**
   - Tax authorities ensure efficient tax administration.
   - Led by Finance Minister, Finance Secretary, and the Federal Board of Revenue (FBR).
3. **Judiciary:**
   - Interprets laws for fair implementation.
   - Members appointed by the federal government.

Evolution and Changes:

- Prior to 18th amendment, Federal government collected taxes.
- Provincial governments delegated some legislative functions to local governments.
- Local governments collected residual taxes, provinces collected others.

Sources of Revenue Receipts:

1. Proceeds from Taxation.

2. Net revenue of commercial departments.
3. Interest on federal government loans.
4. Return on federal government investments.
5. Receipts by federal administrative ministries.
6. Surcharges on petroleum and natural gas.
7. Dividends.

Federal Government Revenue Receipts:

- **Tax Revenue:**
  - Direct Taxes (Income tax, capital value tax, worker's welfare tax).
  - Indirect Taxes (Sales tax, Customs, Federal excise).
- **Non-tax Revenue** (e.g., state banks profit, dividends from OGDCL, profits from authorities like PTA, PSO).

Taxation Prior to 18th Amendment:

- About 90-93% of resources generated at federal level.
- Only 7% by provinces.

Key Problems of Federal Tax System:

1. Low and stagnant tax to GDP ratio (11-12%).
2. Overdependence on indirect taxes (80% of revenue).
3. Excessive burden of taxation.
4. Issues in international trade taxation leading to inefficiency and unlawful trade.
5. Complex laws and procedures, perceived corruption.

World Bank Recommendations (Pre-1988):

- Strengthen tax base.
- Increase share of direct taxes.
- Reform structure of indirect taxes.
- Reduce excessive exemptions.

Pre-18th Amendment and NFC Award:

- 90% revenue at federal level, 10% via local and provincial government.
- Social service delivery with provincial and local government.
- Provincial deficit filled through federal grants or loans.

1991 NFC Awards:

- Federal government stopped payments to provincial governments.
- Increased pressure on provinces for self-financing.

Provincial Resource Mobilization Issues (2010):

1. Limited scope.
2. Poor tax administration.

3. Underutilization of certain taxes (e.g., agriculture income tax).

Change in Provincial Strategy (Since 1991 NFC Awards):

- Adopted diversified resource mobilization.
- Removed exemptions.
- Focused on existing taxes.
- Expanded tax net.

Results of Strategy Change:

- Considerable increase in provincial tax revenue.
- Government agencies identified non-tax paying multi-millionaires.
- Strong interest groups behind tax concessions.

Current Challenges and Expectations:

- FBR expects revenue through amnesty scheme.
- Continuous efforts to address tax evasion.
- Focus on resource mobilization and fiscal discipline.

DEBTS AND DEFICITS:

Fiscal Deficit: Understanding the Basics

- Fiscal deficit is the gap between what a government earns (total revenue) and what it spends (total expenditure).
- It reflects the amount the government needs to borrow to meet its financial needs.
- It's a hot topic in both developing and developed countries.

Importance of Fiscal Deficit

- According to the World Bank and IMF, fiscal deficit is a crucial policy variable affecting the entire economy.
- Developing countries, like Pakistan, particularly feel its impact.
- Consensus exists that large deficits are not sustainable, requiring direct policy actions.

Consequences of Deficit:

- **Debt Problem:** High fiscal deficits often lead to increased government debt.
- **Inflation:** Excessive borrowing can contribute to inflationary pressures.
- **Foreign Dependence:** Reliance on external borrowing can make a country financially vulnerable.
- **Discourage Investment:** High deficits may discourage private investment due to economic uncertainty.
- **Decrease in Spending on Social Services:** Governments may cut spending on essential services to manage deficits.

Implications of Fiscal Deficits:

- The relationship between deficits and macroeconomic variables depends on how the deficit is financed.
- Two main sources: Domestic borrowing and External borrowing.

Pakistan's Perspective:

- Fiscal deficit is seen as a root cause of many economic challenges in Pakistan.
- High debt levels create pressure on limited fiscal resources, hindering economic recovery efforts.
- International financial institutions emphasize the need to address fiscal deficit issues.

Debt as a Burden: Differing Views:

- One perspective is against borrowing, arguing that current benefits should not burden future generations.
- Another viewpoint supports borrowing, suggesting it achieves intergenerational equity by sharing the cost with the future.
- The impact of "deficit" and "debt" on being a burden depends on how public debt is utilized.

Case Study: USA vs. Pakistan:

- The USA, despite being the world's largest debtor nation, has shown economic growth despite rising deficits and debts.
- In Pakistan, deficits grew due to excessive non-developmental expenditures and large tax cuts, making future generations bear the burden of debt.

PAKISTAN'S FISCAL DEFICIT:

Structural Adjustment Program (1988-2013): Focus on Fiscal Deficit Reduction;

- Identified reduction of fiscal deficit as a key component; other measures centered around this objective.
- World Bank consistently emphasized debt reduction in Pakistan during this period.

Main Features of Pakistan's Fiscal Deficit:

1. **Deficit in Budget:** Expenditure exceeds revenue.
2. **High Growth in Current Expenditure:** Total revenue insufficient to cover current budgetary needs.
3. **Defence Expenditure:** Historically higher than developmental expenditure, though recent years show a decrease.
4. **Interest Payments:** Over half of the annual expenditure allocated to defence and interest payments.
5. **Source of Debt:** Domestic debt higher than foreign debt.
6. **Domestic Debt:** Mainly sourced from non-bank borrowing.

Trends in Fiscal Deficit (as a percentage of GDP):

- 1980s: Around 8%
- 1990s: Around 7%
- 2000s: Around 4.5%
- 2010: Around 6.2%
- 2016: Around 4.6%

IMF's Perspective on Deficit in Pakistan:

- Responsible for growing inflation, crowding out private investment, falling growth rate, and current account deficit.

Views of IMF and World Bank (1980–1997):

- Fiscal deficits in Pakistan were higher than international standards.
- Despite this, macroeconomic performance was considered good, with well-managed inflation and better economic growth.
- Emphasis on bringing fiscal deficit to a sustainable level for long-term macroeconomic development.

Sustainable Deficit Concept:

- Defined as a deficit level allowing economic expansion, price stability, and reasonable debt servicing ratio.
- The considered sustainable figure is 4% of the GDP.

Critical Concerns Related to Fiscal Deficit in Pakistan:

- **Spending and Redistribution:** Issues in the allocation of public expenditure.
- **Defence Spending Patterns:** Historically higher under military regimes than democracies.
- **Developmental Expenditure Concerns:** Focus on the need for balanced spending.
- **Underreported Economy:** Estimated to be as much as 40%, affecting GDP calculations.
- **Governance Issues:** Rampant corruption, misuse of taxpayers' money, and unfair political power use.

Perceptions on Fiscal Deficit:

- Generally considered unwanted and harmful for the economy.
- Regarded as the most important statistic for analyzing economic health.
- Continues to be a persistent problem in Pakistan, with fiscal policy seen as a critical failure.

THE DOMESTIC AND FOREIGN DEBT CRISES:

- **Purpose of Debt:** Pakistan relies on domestic and foreign debt to finance budget and current account deficits, supporting major projects like the China Pakistan Economic Corridor (CPEC).
- **Composition of Public Debt:** Over one-third is external debt in US dollars, Euros, and other hard currencies.
- **Total Debt and Liabilities (TDL):** Consists of public and private debt, reaching 79% of GDP in 2017.
- **Gross Public Debt:** Accounts for 85% of the total outstanding, standing at 67.2% of GDP.
- **Private Debt:** Makes up the remaining 15%, mostly owed to foreign borrowers.

Categories of Domestic Debt:

1. **Floating Debt:** Short term, includes cash credit, and Treasury Bills from commercial banks and the State Bank.
2. **Unfunded Debt:** Medium term, involving general public investments in National Saving Schemes.
3. **Permanent Debt:** Long term, sourced from insurance companies and commercial banks with a maturity between 7 to 20 years.

Debt Problem Emergence (1980s-1990s):

- **Government Spending vs. Revenue:** Debt problems surfaced when government spending exceeded its revenue.
- **Debt Growth:** Nominal public debt rose from Rs. 155 billion to Rs. 802 billion in the 1990s.

- **High Deficit:** Despite high deficit and accumulated debt, growth remained impressive.
- **Sharp Rise (1996-1999):** Public debt surged from 515% of government revenues to 625%.

Reasons and Consequences of Debt Issue:

- **Reasons:**
  - Fallen Growth
  - Falling Revenues
  - Frequent Change in Government
- **Consequences:**
  - Difficulty in Debt Servicing
  - Higher Interest Rates (20% p.a)

Debt Crises Timeline:

- **1980s:** Development expenditure constituted 40% of total government spending.
- **1990s:** Domestic debt crises.
- **2000s:** Development expenditure declined to 13% of total government spending.

Debt Reduction and Management Strategy (DRMS):

- Formed in January 2000 to address the debt crisis.
- Identified Causes of Excessive Debt and Proposed Solutions.

Principal Factors Behind Pakistan's High Debt (Sakib Sherani):

- **Declining National Savings**
- **Lack of Fiscal Discipline**
- **Declining Tax Revenue (as %age of GDP) in 1990s & 2000s**
  - Political Interference
  - Weak Institutions

Conclusion:

- **Debt Servicing Impact:** Eating away revenues meant for development and other expenditures.
- **Dual Debt Challenge:** Unlike other countries, Pakistan faced both domestic and external debt problems in the 1990s.
- **Role of Reforms:** Reforms and structural adjustments played a role in exacerbating the debt crisis.

MODULE # 5 – [MONETARY POLICY AND MONETARY MANAGEMENT]

FINANCIAL SECTOR:

Introduction:

- **Economic Policy Focus:** The country aims to develop a vibrant domestic financial sector to channelize savings into productive investments, fostering economic development.

Components of Financial Sector:

- **Commercial Banks:** Mainstream banking institutions.
- **Microfinance Banks:** Focused on providing financial services to small-scale enterprises.
- **Development Finance Institutions:** Institutions promoting economic development through financial support.
- **Insurance Companies:** Entities providing risk coverage for various sectors.

Evolution of Banking Sector:

- **Pre-Partition Scenario:**
  - No central bank.
  - Only 213 functioning bank branches in Pakistan, compared to 3496 in united India.
- **Post-Partition Growth:**
  - State Bank of Pakistan (SBP) established on July 1, 1948.
  - SBP responsibilities included note issuance and building a banking system.
  - Rapid growth in the first 18 months with 51 new branches opening.
  - Commercial banks expanding their operations.
- **Factors Contributing to Growth:**
  - Impressive 61% growth in bank deposits (1948-54).
  - Economic revival, industrial development, and consolidation of the banking system.
  - Capital inflow from Muslim countries.
  - Favorable balance of payments.

Nationalization of Banking Sector:

- **Bank Nationalization (1974):**
  - Federal government gained exclusive ownership, management, and control of all banks.
  - Shareholders compensated with federal bonds repayable.
- **Social and Economic Impact:**
  - New branches opened in every township.
  - Nationalized banks influenced by politics, leading to overstaffing.

Introduction of Islamic Financing:

- **Council of Islamic Ideology (CII) Involvement (1977):**
  - CII tasked with developing a blueprint for an interest-free economic system.
- **Interest-Free Banking Implementation (1981):**
  - Nationalized banks set up separate counters for interest-free profit and loss sharing deposits.
  - Introduction of three Islamic modes of financing: Musharakah, Mudarabah, Muarhabah.

Structural Adjustment Program (1988) and Sector Changes:

- **Dramatic Changes Post-1988:**
  - Implementation of structural adjustment program.
  - Liberalization and denationalization of the financial sector.
  - Opening up of the sector to encourage competition and growth.

MONETARY POLICY AND FINANCIAL SECTOR REFORMS:

Importance of Monetary Policy:

- **Implications for Economic Development:** Crucial role in shaping the country's economic development.
- **Regulation of Money and Credit:** Concerned with managing the quantity, cost, and allocation of money and credit.

Autonomy of State Bank of Pakistan:

- **Granting of Autonomy:** SBP given autonomy to set interest rates and make decisions.
- **Criticism:** Decisions sometimes influenced by non-technical factors like political pressure and other considerations.

Pre-Reform Period (1972-1991):

- **National Credit Consultative Council (NCCC):**
  - Established in 1972 under banking sector reforms.
  - Key player in monetary policy management.
- **Annual Credit Plans:** Developed to determine monetary expansion and credit allocation.

Financial Sector Reforms Since 1991:

- **Transformation:** Major changes post-1991 under Financial Sector Adjustment Loan (FSAL) and structural adjustment programs.
- **IMF and World Bank Recommendations:** Called for restructuring due to inefficiency and misallocation of resources.

Reforms Implemented:

- **Market-Based Monetary Policy:**
  - Shift towards market-based management recommended by IMF.
  - Removal of distortions and segmentation.
  - Determination of market-based interest rates.
- **Development of Secondary Market:**
  - Creation of secondary market for government securities.
  - Increased autonomy and accountability for national banks.
  - Entry of private banks into the market.
- **Operational Changes:**
  - Full-fledged government debt auctioning from 1991.
  - Discontinuation of credit ceiling in July 1992.
  - Adoption of open market operations from January 1995.
  - Removal of maximum lending rates.

Challenges and Criticisms:

- **UNESCAP Critique:**
  - Criticism of structural adjustment programs in the region.
  - Potential consequences include incomplete solutions to market failures and macroeconomic instability.
- **Ongoing Reforms:**
  - Interest rates still under control.
  - Full development of a market-oriented money market is pending.

Analysis of Reforms:

- **Positive Impact on Financial Sector:**
  - Reforms contributed to increased profits and credit expansion.
  - Greater reliance on market forces for monetary management.
- **Role of Financial Sector:**
  - Directly linked to the country's development.
  - Aim to keep borrowing costs low and encourage savings.

Remaining Areas for Reforms:

- **Unaddressed Areas:**
  - Interest rate control.
  - Full development of a market-oriented money market.

MONETARY EXPANSION:

Definition of Monetary Assets:

- M1: Currency in circulation and demand deposits.
- M2: Includes M1 plus saving deposits.
- M3: Comprises M2 plus time deposits.

Trends in Monetary Expansion (1993-1998):

- Significant domestic credit expansion, led by the private sector.
- Substantial growth in government budgetary borrowing.

1980s Shifts:

- Move from time deposits to national saving schemes for better returns.
- Resulted in a decline in the bank deposit ratio.

INFLATION TRENDS:

Four Price Indices in Pakistan:

- Consumer Price Index (CPI).
- Wholesale Price Index (WPI).
- Sensitive Price Index (SPI).
- GDP Deflator.

1961-1988:

- Real money balances contributed to inflation acceleration.
- Government expenditure, particularly financial bonds, negatively impacted inflation.

1990s (Double Digit Inflation):

- Pasha et al. identified key policy variables:

- Demand management policies.
- Supply shocks.
- Monetary policy.
- Rise in international prices.
- High tariffs.
- Devaluation.

Factors Contributing to Inflation (1990s):

- Procurement prices of wheat.
- Administered prices of fuel, gas, and electricity.
- Rise in indirect taxes.
- Devaluation of Pakistani rupee.

Decline in Inflation after 1998:

- Factors:
  - Decreased aggregate demand.
  - Nuclear test.
  - Military government.
  - 9/11 incident.
  - External factors.

Inflation since 2007/8:

- Chronic inflation with rates near 20%.
- Contributing factors:
  - Oil price increases.
  - Global recession.
  - Rise in food prices due to biofuel production.
  - Climate change impact.
  - Support prices for wheat and rice.
  - Floods in 2010 and 2011.

Analysis of High Inflation:

- Government mismanagement, influenced by domestic political factors.
- Contribution of Structural Adjustment Program (IMF & World Bank) to recent high inflation.

LOW SAVINGS RATES:

Overview:

- National savings rate in Pakistan significantly lower compared to other economies, around 20%.
- Volatility in savings rate over time: 11.2% in the 1970s, 14.8% in the 1980s, and fluctuations in the 1990s and 2000s.

Structural Macroeconomic Problem:

- Low savings rate considered a fundamental macroeconomic challenge.

Sources of Savings:

- Households, private enterprises, government savings.

Two Schools of Thought:

1. **Financial Repression School:**
   - Main obstacles to savings: Low or negative real interest rates, variable inflation rates.
2. **Financial Structure School:**
   - Lack of depth and breadth in the financial sector: Few financial assets and institutions.
   - Both schools find support in explaining Pakistan's low savings rate.

Factors Contributing to Low Savings Rate:

- **2004 Scenario:**
  - Low inflation, low/negative real interest rates.
  - Result: Increased borrowing and speculation in stock and real estate markets.
- **2008-2012 Scenario:**
  - High inflation, low interest rates.
  - Result: Fall in savings.

Hindrance to Economic Expansion:

- Low savings rate identified as a significant obstacle to the country's economic growth.

Research Studies:

- Siddique & Siddique: "As income increases, savings will also increase."
- Zafar Iqbal: "Strong negative effect of dependency ratio on savings."
- Shabbir & Mahmood: "Foreign financial inflows may discourage domestic saving behavior."
- Zafar Iqbal: "Foreign capital outflows and foreign interest rates negatively impact household savings."

Causes of Low Savings Rate:

- Real rate of return on financial assets.
- Lack of use of formal financial institutions.
- Foreign financial inflows (aid & capital).
- Inflation and uncertainty.
- Limited access to financial institutions and instruments.

Additional Factors:

- Cultural factors influence savings at home.
- Presence of a large informal financial sector.

Access to Finance Survey:

- Only half of the population saves in formal financial institutions.
- 14.9% of savers utilize formal financial channels.
- Around 63.6% save at home.

Purpose of Savings:

- Mainly for consumption smoothing rather than investment.

Challenges in Explanation:

- Despite examining numerous causative factors, both schools of thought do not provide adequate explanations.
- Cultural factors also play a role in explaining the low savings rate in the country.

MODULE # 6 – [BALANCE OF PAYMENT AND TRADE REGIMES]

PAKISTAN'S FOREIGN TRADE:

Trade Agreements:

- Bilateral and multilateral trade agreements with various nations and international organizations.
- Member of the World Trade Organization (WTO).
- Participation in the South Asian Free Trade Area (SAFTA) agreements.
- China-Pakistan Free Trade Agreement in place.

Trade Dynamics:

- World demand fluctuations impact exports.
- Domestic political uncertainty and occasional droughts affect agricultural production.
- Result: Variations in Pakistan's trade deficit.

Historical Trade Patterns:

- 1948/49:
  - Major trading partners: India & UK (67% of trade).
  - East Pakistan 80%, West Pakistan 50%, India.
  - India's share in trade was high, with 56% of exports to India.
  - Dependence on India reduced over a decade.

Trade Policy Importance:

- Import taxes constitute over half of total government revenue.
- Trade policy plays a crucial role in a country's development.
- Highlighting the evolution of trade policy and its impact on development.

Trade Regime Changes:

- 1949: Pound sterling devalued, Pakistan maintains old exchange rate, leading to expensive exports.
- 1950: Korean War boosts exports, improves balance of payment position.
- June 1951: Trade liberalized, 85% of imports without license.
- 1952: Korean Boom collapses, leading to re-imposition of trade and forex controls.

1960s Trade Emphasis:

- Export Bonus Scheme introduced (1959).
- Direct emphasis on promoting manufactured exports.
- Export-oriented industries receive higher entitlement in licenses.

Key Features of Trade Regime (1960s):

- Restructuring of direct import controls (1958).
- Export Bonus Scheme (1959).
- Expansion of Open General License system.
- Automatic licensing scheme (1961).
- Introduction of the Free List (1964).

Liberalization Measures:

- Open General License:
  - 1961: 11 commodities.
  - 1964: 51 commodities.
- Free List:
  - 1964: 4 commodities.
  - 1966: 50 commodities.

Import Liberalization Impact:

- Total imports increase, shifting towards capital and intermediate goods.
- Import duties rise to control excess import demand.
- Shift from direct to indirect controls for flexibility.

Export Bonus Scheme (1959):

- Positive effect on exports.
- Compensates for overvalued exchange rates.
- Increases exports of manufactured goods.
- Facilitates easier import of raw materials and machinery.

Generous Import Policy:

- Linked to large foreign aid (over 40% of imports paid from aid).
- High industrial growth due to the trade regime.
- Bonus voucher scheme crucial for export expansion and import substitution.

Post-1965 War Changes:

- Liberalization process reversed due to foreign exchange shortage.
- Free list reduced from 66 items (1964) to 14 items (1968).

NEW GOVERNMENT'S TRADE POLICY (1972-1977) :

Post-Separation Of East Pakistan:

Background:

- Democratic government assumes control in December 1971.
- Creation of a new country, consisting only of West Pakistan after the separation of East Pakistan (Bangladesh).

Trade Before Separation:

- Significant trade between East and West Pakistan.
- Half of West Pakistan's exports directed to East Pakistan.
- 18% of imports in the western region sourced from East Pakistan.
- Jute and tea from East Pakistan contributed to half of Pakistan's export earnings.

Measures Taken:

- **Devaluation of Rupee:**
  - Implemented to stimulate exports.
- **Abolishment of Schemes (May 1972):**
  - Import licensing scheme.
  - Export bonus scheme.
  - Multiple exchange rate system.

Features of the Trade Regime:

- Lack of a formal, organized export policy for more than five years.
- Main source to encourage exports: Devaluation.
- Additional revenue collected through export taxes.
- Concessionary credit facilities provided for exporters.

Challenges and Shortcomings:

- **Temporary Export Boom:**
  - Affected by a sequence of bad crops (cotton and rice) due to natural factors.
  - Oil price rise in 1974 negatively impacted oil and fertilizer imports, worsening the balance of payments.

Conclusion:

- The only positive outcome for Pakistan was a sequence of oil price booms.
- Gained in terms of labor and commodity exports to new Middle East markets.
- Remittances reached approximately US$3 billion in the 1980s, transforming the social structure of the economy.

TRADE REGIMES
LIBERAL TRADE 1977-1988

Liberal Trade (1977-1988):

Government Initiatives:

- **Trade Liberalization (Imports):**
  - Reduced the number of banned products.

- Removal of non-tariff barriers.
- Expansion of items on the "free list" (added 91 new items).
- Organized procedures for importing commodities.
- Eliminated explicit import quotas for non-capital imports.
- Reduced import licensing value ceiling (from 406 to 5 consumer goods).
- Liberalized previously banned and restricted imports.

World Bank Report (1980s):

- Pakistan's import regime reached its most restrictive level.
- 41% of domestic industrial value added was protected.
- Trade policies appeared biased towards import substitution.

Export Promotion Measures:

- Export rebates introduced.
- Concessionary credit provided for exports.
- Income tax facilities extended to exporters.
- Import facilities granted for exporters.
- Introduction of a flexible exchange rate (delinking the Pakistani rupee from the dollar).

Trade Liberalization Under Structural Adjustment (1988 Onwards):

Objectives:

- Improving tariff structure.
- Reducing the number of banned items.
- Enhancing export incentives.
- Streamlining import licensing.

Measures for Trade Policy:

- Import duty reduction.
- Decrease in tariff rates.
- Lower duty rates on raw materials.
- Reduction of the banned commodities list.
- Replacement of non-tariff barriers with tariff barriers.

First Structural Adjustment Program (1988):

- Government committed to extensive changes in trade policies/regime.

Analysis:

- Resident Pakistanis allowed to open foreign currency deposit accounts (1991).
- Import licensing abolished except for commodities on the "negative list" (1991).
- Significant steps taken based on the Structural Adjustment Program (1993).
- World Bank stated that foreign exchange inflows into FCDs significantly helped Pakistan since the 1990s.
- Inflows in FCDs were as large as 75% of Pakistan's total capital account balance.

- Call for extending these trade policy measures, particularly regarding trade taxation.

Conclusion:

- The formation of the World Trade Organization (WTO) in 1995 changed the international trade environment.
- Most trade reforms occurred during 1988-1995.
- Since the mid-1990s and after WTO, there have not been significant reforms in Pakistan's trade sector.

FOREIGN EXCHANGE RATE IN PAKISTAN:

Background:

- In 1949, Pakistan decided on "non-devaluation," leading to crises in the exchange rate.
- The initial link of the Pakistani Rupee to pound sterling later shifted to the dominance of the US dollar.

Devaluation Events:

- No devaluation in 1949 and 1952.
- Multiple exchange rates criticized in the development decade.
- Nominal exchange rate changes occurred: 30% in 1956, 58% in 1972.
- A 10% revaluation in 1973 due to the devaluation of the US dollar.

Conclusion:

- Continuous depreciation of the rupee.
- Increasing exports not solely dependent on exchange rates.
- Structural factors like product quality, credit, and infrastructure are crucial.

WTO AND GLOBALIZATION:

World trade organization (WTO):

- Established on January 1, 1995, replacing GATT.
- 124 nations signed it on April 15, 1994.

Globalization:

- Involves international trade, capital, technology, and information flows.
- Advocated by multinational organizations like IMF, World Bank, and UN.
- IFIs influence economic decisions, sometimes bypassing national electoral systems.

Factors Influencing Globalization Impact:

- Active civil society and strong nationalistic leadership crucial.
- Countries benefit more if less corrupt, more democratic, peaceful, and have a skilled labor force.

Globalization Impact on Pakistan:

- Positive and negative impacts on the economy.

- Implemented WTO guidelines to improve market access.
- Textiles constitute 60% of Pakistan's exports.
- ATC (1995) aimed at removing quantitative restrictions on textiles and clothing imports.

Post-2005 Impact:

- Textile exports expanded, but concerns about increased competition.
- Limited research on post-2005 impacts, but impressions suggests manageable effects.
- Diversification challenges, with other countries moving to higher value-added products.

Summary:

- Pakistan's trade regime moving towards openness with fewer controls and tariffs.
- Overlooking structural weaknesses hinders export growth.
- Supply side incentives crucial for sustainable export expansion.

MODULE # 7 – [STRUCTURAL ADJUSTMENT PROGRAMMES (SAP)]

STRUCTURAL ADJUSTMENT PROGRAMMES (SAPS):

Overview:

- SAPs involve loans (Structural Adjustment Loans; SALs) from IMF and World Bank during economic crises.
- Recipient countries must follow economic reforms, known as a structural adjustment programme, to obtain the loan.

Historical Context:

- In the 1970s, IMF and World Bank played a minimal role in developing countries' economic development.
- Loans were provided based on careful country analysis with stringent conditions.

STRUCTURAL ADJUSTMENT PROGRAMMES: COMPOSITION:

- **Objectives:** Improve balance of payment, cut fiscal deficit, lower inflation, and increase growth.
- **Policy Areas:** Trade, Fiscal, Public Enterprise, Financial Sector, Industrial, and Agriculture Policies.

KEY POLICIES IN SAPS:

1. **Trade Policy:**
   - Consistent currency depreciation for competitiveness.
   - Lift restrictions on exports, decrease import restrictions, and reduce tariffs.
   - Promote an outward-oriented, export-led economy.
2. **Fiscal Policy:**
   - Reduce and eliminate fiscal deficits by cutting public expenditure.
   - Reform tax system and cut subsidies in energy and agriculture.
3. **Public Enterprise Policy:**
   - Reform public enterprises for improved efficiency and profitability.

4. **Financial Sector Policy:**
    - Restructure institutions for resource mobilization.
    - Relax interest rate ceilings and liberalize time deposit and lending rates.
5. **Industrial Policy:**
    - Remove protection to enhance international competitiveness.
    - Remove price controls, promote export-oriented industries.
6. **Agriculture Policy:**
    - Liberalize agriculture prices and discontinue subsidies.

SAP Composition Summary:

- Aim to reduce budget deficit by raising prices, eliminating subsidies, decreasing government spending, and devaluing currency to boost exports.

SAPS: IMPLEMENTATION AND EFFECTS:

- Studies show mixed effects.
- Balance of payments may improve, but inflation may not decrease.
- Decline in growth rate, public investment, and potential for deindustrialization.
- Negative impact on private investment, often accompanied by higher inflation.
- Severe criticism due to negative welfare consequences, especially affecting the poor.

IMPLEMENTATION OF SAP IN PAKISTAN:

- Since 1988, Pakistan followed SAPs funded by IMF and World Bank.
- Significant impact on economic policies, management, and performance.
- Adherence to policy frameworks outlined in structural adjustment agreements.
- Agreements terminated if the government fails to fulfill obligations.

Conclusion:

- SAPs, while aiming for economic stability, face criticism for their impact on welfare, especially among vulnerable populations.

1988 STRUCTURAL ADJUSTMENT PROGRAMME (SAP):

Overview:

- Detailed conditionality's in the 1988 SAP, focusing on bus fares, power tariffs, gas prices, water tariffs, taxes, and fees.
- Main areas for reforms: Fiscal Policy, Foreign Trade Policy, and Financial Sector.

SAP Targets (1988):

- Strong GDP growth (above 5.5%)
- Increased investment and efficiency
- Import liberalization

SAP: ACHIEVEMENTS AND FAILURE:

1. Fiscal Policy:

- Implementation considered weakest.
- Quantitative targets not met:
  - Tax revenue (% of GDP) stagnant
  - Limited reduction/exemptions in tax concessions
  - Debt to GDP ratio failed to improve
  - External debt increased

2. Trade and Balance of Payments:

- Stepwise measures:
  - Reduction in maximum tariff rates
  - Elimination of non-tariff barriers
  - Abolition of import licenses
- Trade liberalization for imports and exports.

3. Financial Sector:

- Pakistani residents allowed to open foreign currency accounts.
- Sale of two state-owned banks to the private sector.
- Liberalization of regulations for domestic and foreign investment.
- Full-fledged auction of government debt initiated.
- Six-month treasury bills' return rose from 6% to 13%.

4. Liberalization and Privatization:

- Sectors opened to the private sector: Power generation, Commercial & Investment banking, Air & Sea Transport.

5. Other Areas:

- Improved agriculture sector performance through technology and incentives.
- Elimination of subsidies on pesticides, seeds, and agriculture machinery.
- Growth in industrial value added.
- Expansion of private sector gross fixed capital formation.

OVERALL EVALUATION OF SAP:

- World Bank's assessment:
  - Strong performance in GDP and export growth.
  - Weaker in sustained reduction of fiscal deficit and improving external sector balances.
  - Limited improvement in key economic indicators: GDP growth, Budget deficit, Current account deficit, Inflation rate.

POLITICAL ECONOMY OF SAP:

- Premise for SAP: Countries in bad economic state with critical deficits and high inflation.
- Pakistan's economy relatively stable before SAP.

- IMF & World Bank acknowledge countries' success with their own programs (e.g., Thailand, South Korea).
- Structural adjustment programs restructure a country's political economy.
- Critical question: Should governments run to the IMF or address structural concerns themselves?
- Concerns: Low resource mobilization, excessively high expenditure.
- Governments sometimes rush to the IMF instead of improving management and governance.